

FLEX SUPREME

PRIMARY RESIDENCE				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type
740	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	80	65	
	3,000,000	75	N/A	
700	2,000,000	80	75	
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV/CLTV Purchase & Rate/ Term	Max LTV/CLTV Cash-Out Refinance	Property Type
700	2,000,000	80	75	SFR, PUD, Warrantable Condo
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	
INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase & Rate/ Term	Max LTVCash-Out Refinance	Property
700	2,000,000	80	75	SFR, PUD, Warrantable Condo, & 2-4 Units
	2,500,000	75	65	
	3,000,000	70	N/A	
680	2,000,000	75	70	

OVERVIEW

The Flex Supreme Program is designed for the most qualified borrowers from an income and credit standpoint, with less complex transactions.

GEOGRAPHIC RESTRICTIONS

DC	Investment Properties are ineligible
FL	- Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Investment Properties are ineligible.
HI	Permitted for Delegated Correspondents only. Ineligible for Non-Delegated Correspondent and Wholesale.
IL	- Cook County: All occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	Indianapolis: Investment Properties are ineligible
MD	Baltimore City: All occupancies are ineligible.
NJ	Patterson: Investment Properties are ineligible.
NY	- Permitted for Correspondents only. Ineligible for Wholesale. - Brooklyn: Investment Properties are ineligible. - Orange County: All occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements. - Short Term Rentals (STRs) are ineligible in the five (5) New York City Boroughs (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).
TX	- Refinances are not permitted - Lubbock: Investment Properties are ineligible

GENERAL REQUIREMENTS

Exceptions	• Not Permitted
Product Type	• 30 Year Fixed Fully Amortizing • 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) • 5/6 & 7/6 SOFR ARMs - Fully Amortizing only, qualify at higher of fully indexed
Interest Only	• Minimum 700 credit score and Max 75% LTV. First Time Homebuyers are ineligible
Loan Amounts	• Minimum \$100,000 and Max \$3,000,000
2-1 Buydown	• Not permitted
Occupancy	• Primary Residence, Second Homes, and Investment Properties
Loan Purpose	• Purchase, Rate & Term Refinance, and Cash Out Refinance
Cash Out Refinance	• Minimum of 6 (six) months seasoning from most recent transaction. • <=70 LTV: Unlimited and >70 LTV: \$500,000 • Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) and Texas Section 50(a)(3) are ineligible. • Not permitted in declining markets
Interested Party Contributions	• Primary Residence and Second Homes: ◦ <= 75% LTV = 9% ◦ > 75% = 6% • Investment Properties: ◦ Max 6%
Ineligible Transactions	• Non-Arm's Length transactions • Non-Occupant co-borrowers on Second Home and Investment Properties • Delayed Financing • Flip transactions (Seller on title < 180 days) unless they are a national / regional builder • Cash Out Refinance in a declining market • Refinances of properties listed for sale in the previous 6 months (based on the application date) • Refinances of existing Texas Section 50(a)(6), Texas 50(f)(2) and Texas Section 50(a)(3) loans • Escrow Holdbacks • A transaction paying off an Installment Land Contract • Title held in Tenants in Common with unequal ownership • Community Land Trusts
Subordinate Financing	• Permitted on Primary Residence and Second Homes
Escrow Waivers	• Waiver of escrows is permitted as follows: ◦ Primary Residence and Second Homes only ◦ Loan must be non-HPML ◦ Housing History: 0x30x12 is required ◦ CA: Minimum score 700 *Waiver of escrows is not permitted on the following: ◦ Flood Insurance premiums for properties located in zones A or V ▪ Taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver. *Elective flood insurance policies for properties not located within a flood map/zone which do not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	• Required where permitted for Investment Properties . Refer to the "Business Purpose Licensing & PPP Restrictions" PDF in the Documents Tab in the Client Portal. • Not permitted on Primary Residence or Second Homes
Age of Loan Documentation	• Credit: 120 days • Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens General Requirements • Permanent Resident Aliens • Non-Permanent Resident (U.S. credit only) H1B and L1 Visas only; Max 75% LTV • Non-Occupant Co-Borrowers • First Time Homebuyer (FTHB)	<u>Ineligible:</u> • ITINs • DACA • Foreign Nationals
Non-Occupant Co-Borrower	• Permitted for Primary Residence only • Max Total DTI 43% • Max 65% DTI for occupying borrower • Cash Out not permitted • Non-occupant co-borrower must be a relative • Rate & Term Refinance Refi (non-occupant co-borrower must be on current loan) • Max Loan Amount \$1,000,000	
First Time Homebuyer (FTHB)	• 1-Unit Primary Residence only • 0x30x24 rental history • Max DTI <= 43% • Minimum 7-years seasoning for credit events • Interest Only not permitted • At least 1 borrower must have a 24 month rental history • When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score of 680 is required • A minimum of 2 credit scores is required (Refer to Tradelines) • borrowers must have a minimum 600 score if not the primary wage earner. * For Asset Utilization use the highest Representative Score of all borrowers
Tradelines	• Tradeline requirements are not waived when the Primary borrower has 3 credit scores • Each borrower must have a minimum of 3 traditional tradelines rated for at least 12 months, OR 2 trades reporting for 24+ months, OR 24-month mortgage history reporting on credit • Guidance around tradeline eligibility: ○ Trades must reflect an acceptable payment history with no more than 0x30x12 and minor delinquency permitted in months 13-24 ○ Closed accounts may be used to satisfy the minimum tradeline requirements if payment history is acceptable (provided it was closed in the last 12 months) ○ Deferred accounts (w/o payment history) cannot be used to meet the minimum requirement ○ Borrowers who do not meet the requirements above are ineligible for this Program (may be considered under another Program)
Housing History	• 0x30x12 • First Time Homebuyer 0x30x24
Credit/Housing Events	• Borrowers with prior significant derogatory credit events must meet the following criteria: ○ Max DTI 43% ○ All borrowers must have reestablished acceptable credit verified after the credit event ○ Borrowers with unrelated multiple significant credit events are ineligible ○ Minimum 4 years seasoning required ○ First time homebuyer >= 7 years seasoning required

DTI AND RESIDUAL REQUIREMENTS

Max DTI	• 50% • When DTI is > 43% and credit score of >= 740 is required • First Time Homebuyer (FTHB) Max 43% • Non-Occupant Co-Borrower Max 43% • Borrowers with prior Housing or Credit Event Max 43%
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Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations • Requirement based on # in household: ○ 1 person = \$1,500 ○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)
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INCOME REQUIREMENTS

Self-Employment	• Borrowers must have a minimum of 2 years in the current business
Secondary Income	• Secondary income combined with primary source of income: ○ Additional income sources cannot represent more than 50% of the total qualifying income

Full Doc - Income Requirements

Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• 1 or 2 years of personal and business tax returns (including K-1s), YTD P&L, Tax Transcripts, 2 months of most recent personal or business bank statements to support the income on the P&L
Rental Income	• Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent year's income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ▪ 75% of the rental amount on the lease is used for qualifying.

Alt Doc - Income Requirements

Personal Bank Statements	• 12 or 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 12 or 24 months of personal statements divided by the number of statements • Business bank statements must reflect business activity and transfers to the personal account. Borrower must have a minimum of 50% ownership in the business, individually or combined with a co-borrower • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
Business/Co-Mingled Bank Statements	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: ○ Fixed Expense Ratio (50%); OR ○ Expense ratio provided by a third party (CPA or EA) min ratio of 20%, OR ○ Third party prepared Profit & Loss Statement (CPA or EA) • Borrower must have a minimum of 50% ownership in the business, individually or combined with a co-borrower • Evidence within 30 days of the Note date that the business is active and operating with a minimum 2 year operating history
IRS Form 1099	• Borrowers receiving 1099 income are eligible if they are individuals paid via 1099 but are not business owners of the entity issuing the 1099; and meet the required 2 most recent consecutive full years of employment with the same employer(s) • 1 or 2 Years' 1099 • Fixed Expense Ratio of 10% • YTD documentation to support continued receipt of income from each employer or NQMF VOE when 1099 is > 90 days from the Note date • Not permitted for Investment Properties
Asset Utilization	• May not be used as supplemental income

(Standalone only)	• Not permitted for Investment Properties • Qualified Assets must be seasoned for 3 months • Monthly Income Calculation: ◦ Net Qualified Assets / 84 Months • <u>Restrictions:</u> ◦ Cash Out transactions are ineligible ◦ Max LTV must be reduced by 10% • <u>Ineligible Assets:</u> ◦ Business assets ◦ Unseasoned Foreign Assets ◦ Proceeds from sale of real estate which is not seasoned for a minimum of three (3) months ◦ Privately traded or restricted / non-vested stocks
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ASSET AND RESERVE REQUIREMENTS

Assets	• Deposits > 50% of gross income must be documented for purchases. • Business assets may be used when the borrower(s) has 100% ownership of the business; or a borrower has 50% ownership, and their non-borrowing spouse owns the other 50% • Foreign Assets not permitted
Reserves	• <= \$500,000 = 3 months PITIA • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA • > \$2,500,000 to \$3,000,000 = 12 months PITIA • Cash Out proceeds may be used to satisfy reserves. • When asset utilization is the sole source of income, reserves are not required. • All reserves must be deposited in a U.S. Financial Institution.
Gift Funds	• Permitted on 1-unit properties only, provided borrower meets the minimum contribution: ◦ 5% primary ◦ 10% Second Home and Investment Properties • Gift funds may be used for down payment and closing costs: ◦ 100% gift funds may be used for down payment and closing costs on a Primary Residence or Second Home when the LTV is <= 75%. ◦ For Investment Properties , gift funds are permitted after meeting the 10% minimum borrower contribution regardless of LTV. • Gift funds are not permitted to be used towards reserves. • Gifts of equity are ineligible • First Time Homebuyer (FTHB) are eligible provided all the respective requirements are met.

PROPERTY REQUIREMENTS

Property Type	Single Family, PUD, Townhome (Attached/Detached)	• Single Family residences with 1 or more accessory dwelling unit (ADU) are permitted if subject property is in a municipality that allows. The Appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables
	2-4 Units	• Max 75% LTV • Not eligible for First Time Homebuyers • Not eligible for Second Homes • 2-4 units with 1 ADU allowed if permitted by the local municipality. The appraiser must specifically confirm compliance with local regulations and provide a minimum of 2 similar comparables.
	Condominiums	• Warrantable Condominiums: Max 75% LTV • Limited review not available. • Non-Warrantable Condos and Condotels are not permitted. • Condominium leaseholds not permitted
Rural Properties	• Primary Residence only • Max 70% LTV • Cash-Out not permitted	

Appraisals	• A second appraisal required for loans > \$2,000,000 • Appraisal Review Product required on all loans with a FNMA SSR over 2.5 except for those with a full second appraisal
Declining Markets	• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Max LTV • Cash Out Refinance not permitted in Declining Markets
Acreage	• Max 10 acres on Primary Residence and Second Homes; 5 acres on Investment Properties